changes that may not affect your home country, but affect the country you're investing in.

Risk based on numbers

So how does one measure risk? There are a number of ways and calculations, but I'm going to give you the most common way since you're an investor in training.

If you see a company and you want to determine how volatile or risky it is compared to other stocks, I have a fairy godmother to help you. Her name is Beta.

Beta is a stock ratio that determines how risky or volatile a company is compared to others (see figure 7.3).

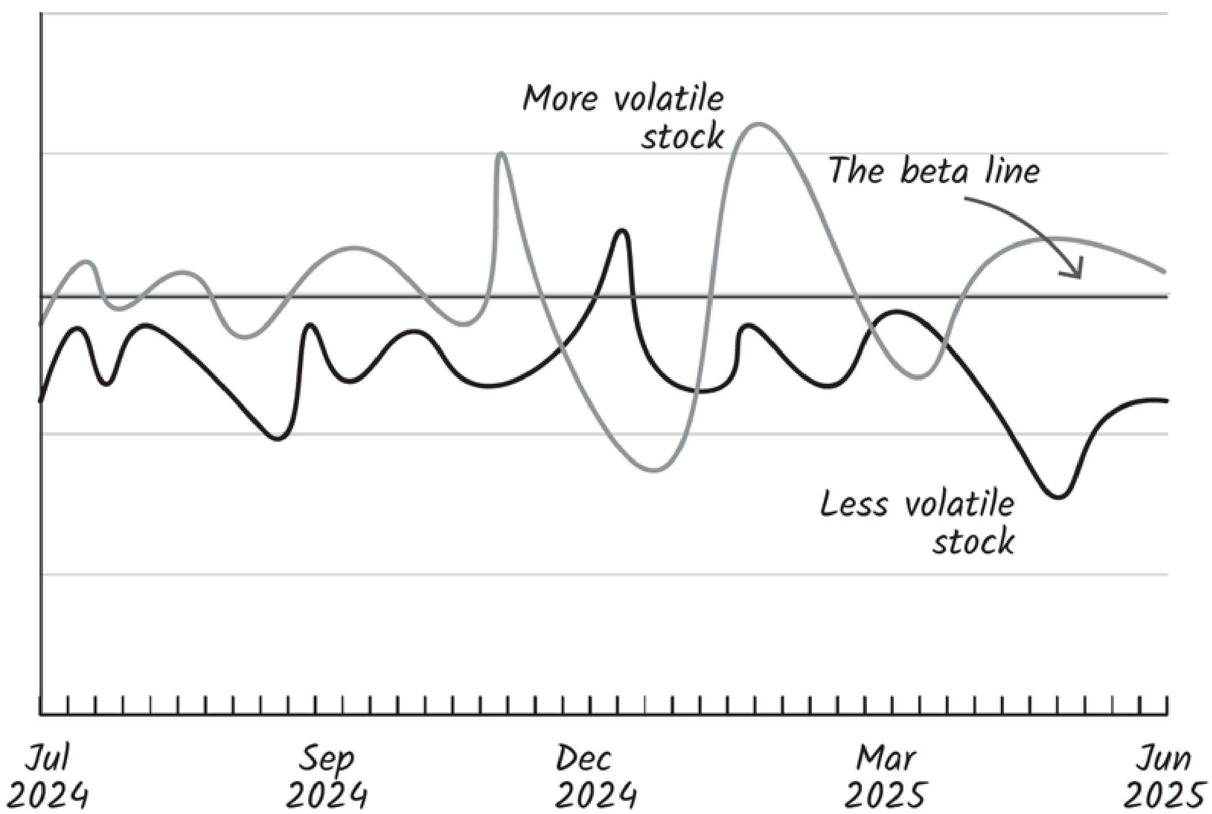

Figure 7.3: how beta works

Remember how we use the S&P 500 as the benchmark of what normal fluctuation is? We give the S&P 500 a beta of 1.

This is our benchmark: 1. Any stock or fund with a beta of: